VALUATION

We recommend SELL on Mallplaza with a target price of CLP 2,076 per share (80% DCF and 20% multiples), 41.6% below the CLP 3,555 close of 30-Sep-26. No method justifies the current price (Figure 27).

SUMMARY AND WEIGHTING

We give the DCF an 80% weight because Mallplaza's cash flows are highly predictable: 81.4% of LTM revenue is rent and 93% of that is fixed. Multiples (20%) test the model against what the market pays today; we cap their weight because Chile has only two direct peers (Parque Arauco and Cencosud Shopping) and because multiples do not capture Mallplaza's GLA expansion or debt path, which the DCF does.

DCF: STRUCTURE AND DISCOUNT RATE

We value FCFF in two stages, in nominal CLP, at 30-Jun-26 with the mid-year convention. The explicit stage (2H26E–2031E) includes the capex and ramp-up of projects opening through 2032 (108,301 m² of mature GLA in the terminal year). From 2032, a Gordon perpetuity accounts for 76% of EV, with no new net GLA and maintenance capex only (Appendix [B]).

Value decomposition. The CLP 1,857 per share is CLP 583 of explicit cash flows plus CLP 1,884 of terminal value, less CLP 587 of net debt and CLP 23 of minorities: the result depends mostly on the terminal WACC and g.

WACC. It changes by period as net debt/EBITDA converges from 2.36x to 3.5x by 2031: 10.54% in 2H26E and 10.41% in the terminal period (7.32% and 7.20% real). Ke is computed in USD and converted to CLP with the inflation differential: Rf 4.98% + beta 1.14 × ERP 4.14% + CRP 1.41% = 11.10% (11.93% in CLP, terminal). The beta relevers the six-peer median (0.94) and the CRP weights country risk by revenue (71.8% Chile). Kd starts from the latest UF bond coupon (3.6% real) plus 25 bp per turn of leverage above 2.36x: 4.92% after tax in 2H26E and 5.11% in the terminal period. At CLP 3,555, equity yields almost the same as that debt (Figure 28; details in Appendix [Z]).

Capital structure. The company uses its debt capacity to grow, as in 2024 (3.78x after buying Open Plaza Peru): net debt/EBITDA rises from 2.36x to 3.5x by 2031, and new debt (CLP 1.40 trillion) funds all of the period's capex (CLP 1.11 trillion). Operating cash is distributed to shareholders (dividends plus CLP 1.79 trillion of additional distributions). Debt is cheaper than equity (Kd ~5% vs Ke ~12%) and creates a tax shield (Appendix [D]).

DCF: OPERATING FORECAST

Reported EBITDA (CLP 544,935 million LTM, 80.5% margin) excludes property revaluation (IAS 40); we forecast a 79.7% margin in 2026E and 79.7–79.8% through 2031E. The operating tax rate rises from 16.8% in 2026E to 27% in 2030E as existing benefits fade. Base capex (pipeline plus maintenance at 5.5% of revenue) peaks at CLP 240,660 million in 2027 and falls to ~CLP 50,000 million from 2029. From 2029, 27,075 m² also open each year (historical average), with capex of CLP 95,000–104,000 million a year, a 35%/90%/100% ramp and a 6.9% yield on cost, at the cost of the identified pipeline (USD 3,603/m²: 170,200 m² and USD 613.2 million). Working capital (15.6% × Δ revenue) requires CLP 7,100–9,900 million a year and moves the price by only ±1.2% (Appendix [C]).

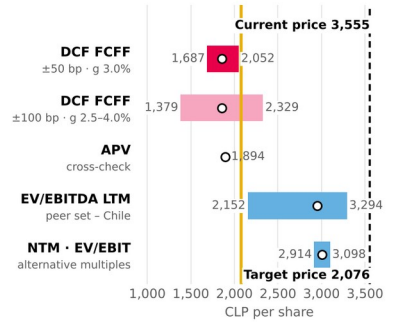
DCF: TERMINAL VALUE AND IMPLIED CAP RATE

We use g = 3.0% nominal (0% real). The real RONIC on expansion (5.0%) is below the real WACC (7.2%): growing beyond the horizon destroys value and a higher g lowers it (Figure 29). The DCF implies a cap rate of 10.1% on EV and 11.3% on terminal value, versus 6.0% for the market, 6.4% for Chilean peers, 7.5% at book value and 5.55% for the appraisers (Note 11) (Figure 32). That gap is not an inconsistency: it is the core of the thesis. To justify the current price, the WACC would have to be 285 bp lower (Figure 33).

What the price discounts. At CLP 3,555 the implied EV (CLP 9.12 trillion) is 69% above ours. Justifying it would require cash flows 69% higher forever or a WACC of ~4.4% real, just 80 bp above the company's real Kd (3.6%): almost no premium for equity. And since RONIC is below the WACC, more growth widens the gap.

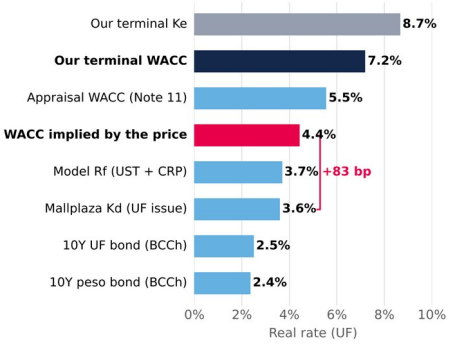
Book value and appraisers. Book equity (CLP 2,201 per share) already carries properties at fair value, appraised at ~5.55% real (Note 11). The market pays 1.61x that value, more than the appraisers (even allowing for deferred taxes); our target price implies 0.94x. Even at the appraisers' rate, the DCF would be CLP 2,660, 25% below the price.

Figure 27: No method justifies the current price (CLP per share)



52-week range pending (Bloomberg). Source: Team analysis; Bloomberg.

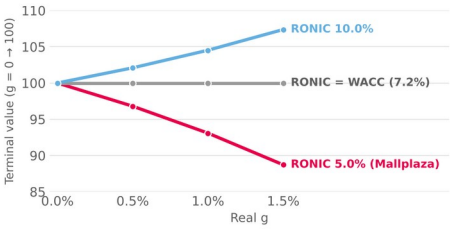
Figure 28: At CLP 3,555 equity yields almost the same as debt



Real rates in UF. Source: Central Bank of Chile (30-Jun-26); Mallplaza; Team analysis.

Figure 29: Growing below the WACC destroys value: real g = 0%

Nominal g	Real g	Reinvestment	DCF value	Δ
3.0%	**0.0%**	**0.0%**	**1,857**	**±0.0%**
3.5%	0.5%	9.6%	1,785	−3.9%
4.0%	1.0%	19.3%	1,699	−8.5%



Top: DCF value by g. Bottom: relative terminal value by RONIC. Source: Team analysis.

RELATIVE VALUATION: MULTIPLES (20%)

The set is the same as for the beta: Parque Arauco and Cencosud Shopping (Chile), Allos, Multiplan and Iguatemi (Brazil) and IRSA (Argentina, used with caution because of IAS 29 and a single NTM analyst). We exclude Fibra Danhos, which as a FIBRA distributes 95% of its taxable income (Appendix [E]). Brazil trades at lower multiples because of its rates and risk premia (median 9.0x EV/EBITDA versus 15.7x in Chile; Figure 30). Since 71.8% of revenue comes from Chile, the multiple weights the Chilean median at 70% and the full-set median (11.1x) at 30%: 14.4x.

We use EV/EBITDA because it is neutral to leverage and to revaluation (IAS 40). At 14.4x, value is CLP 2,951 per share. Mallplaza trades at 16.8x LTM: 7% above the Chilean median, below Parque Arauco (18.4x) and 17% above the weighted multiple (Figure 31). We exclude P/E (CLP 8,644, distorted by revaluation). Multiples use Bloomberg net debt (CLP 1,311,569 million), as for peers; the DCF uses the company's net financial debt (CLP 1,285,740 million).

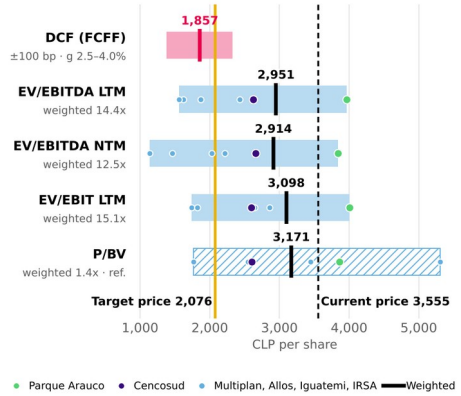
Is the premium justified? Mallplaza trades 29% above Cencosud Shopping (13.0x), yet its EBITDA per m² is only 1.8% higher (CLP 59,451 vs 58,384 in 2Q26; see Industry). Only at Parque Arauco's multiple (18.4x) would the stock be worth more than its price (CLP 3,967), and Parque Arauco runs at 5.7x net debt/EBITDA with its own pipeline, which are not comparable. At Cencosud's multiple it would be worth CLP 2,621.

The disagreement is about the rate, not the cash flows. The 13-analyst consensus forecasts NTM EBITDA of CLP 617,130 million, ~3% above our forecast for the same period (~CLP 598,850 million). Our cash flows are not more pessimistic than the market's: the value gap comes from the discount rate the price implies.

Figure 30: Peer multiples vs local rates

Chart pending (Brazil NTN-B yield missing, Bloomberg).

Figure 31: Value implied by each peer's multiple vs DCF and price (CLP per share)



Target = 80% DCF + 20% EV/EBITDA LTM. P/E excluded (includes revaluation). Source: Bloomberg (30-Sep-26); Team analysis.

VALUATION SENSITIVITY AND RISKS

Sensitivity. With WACC ±100 bp and g between 2.5% and 4.0%, the DCF ranges from CLP 1,379 to 2,329 (Figure 25; Appendix [F]), and the historical worst operating case takes 10.0% off (Figure 24); justifying the price would require a WACC 285 bp lower (Figure 33). Every multiple sits below the price: EV/EBITDA LTM CLP 2,951 (−17%), NTM CLP 2,914 (−18%), EV/EBIT CLP 3,098 (−13%), P/BV CLP 3,171 (−11%) and the Chilean median alone CLP 3,294 (−7%) (Figure 27).

Robustness. APV gives CLP 1,894 (2% above the DCF); with the peso bond as Rf, the target price rises to ~CLP 2,439 (−31%; Appendix [Z]); and with a net debt/EBITDA target between 2.36x and 4.0x, the DCF ranges from CLP 1,819 to 1,894.

Scenarios. We combine the most favourable and most adverse assumptions. In the bull case a lower g raises value because RONIC is below the WACC. Neither the bull case nor the appraisers' rate reaches the price:

Scenario	Assumptions	DCF	Target	vs price
Bear	WACC +100 bp; EBITDA margin 75.8% (historical low)	1,402	1,712	−51.9%
Base	**Model v2**	**1,857**	**2,076**	**−41.6%**
Bull	WACC −100 bp; g 2.5%; margin 81.3% (high); 23% tax in Chile	2,506	2,595	−27.0%
Appraisers	WACC 8.72% (5.55% real, Note 11)	2,660	2,719	−23.5%

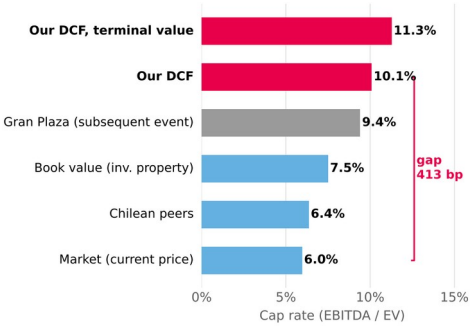
Target price. 80% × CLP 1,857 + 20% × CLP 2,951 = CLP 2,076, a −41.6% return against CLP 3,555 (30-Sep-26). Rolling the DCF from 30-Jun to 30-Sep-26 would lift it to ~CLP 1,910 and the target to ~CLP 2,118 (−40.4%): the recommendation does not change.

Total return and implied metrics. With an expected dividend of ~CLP 69 per share (2.0% yield), the expected total return is −39.7%. The target price implies 10.8x LTM EV/EBITDA, a 9.3% cap rate and 0.94x book value, versus 16.7x, 6.0% and 1.61x at the current price (Figure 32).

Catalysts. The 10Y UST at 5.22%, its highest since 2002, and Fed hikes put pressure on market cap rates (Investment Risks, FR1). Each appraisal update at higher rates brings book value closer to our DCF and removes support for the current multiple.

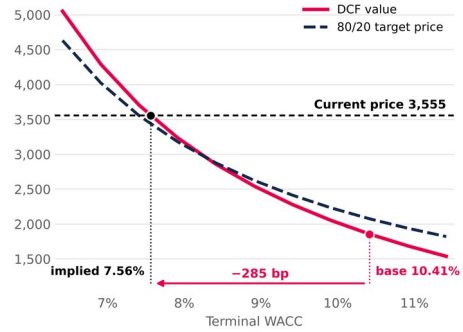
Upside risks. A sustained compression of cap rates on stronger institutional demand for defensive assets, or a structural premium for Mallplaza's Tier A assets (see Investment Risks).

Figure 32: The market pays 6.0%; our cash flows are worth 10.1%



Gran Plaza: subsequent event, not in the model. Source: Mallplaza; Bloomberg; DF; Team analysis.

Figure 33: The price requires a WACC 285 bp lower



Source: Team analysis.

APPENDIX [Z]: WACC CONSTRUCTION

The WACC is computed per period: D/E converges linearly from the current structure (20.0%) to the target (28.5%, net debt/EBITDA 3.5x) in 2031. The cost of equity is built in dollars (US Treasury Rf + re-levered beta × ERP + revenue-weighted CRP) and converted to pesos with the inflation differential.

βL = βU × [1 + (1 − t) × D/E] (Hamada)
Ke USD = Rf + βL × ERP + weighted CRP
Ke CLP = (1 + Ke USD) × (1 + π Chile) / (1 + π US) − 1
Kd CLP = (1 + real Kd + spread) × (1 + π Chile) − 1
WACC = E/V × Ke CLP + D/V × Kd CLP × (1 − t)

A. MARKET AND CAPITAL STRUCTURE ASSUMPTIONS

Assumption	Value	Source
Rf: 10Y US Treasury	4.98%	Tasa_WACC (FFCF)
Equity risk premium (ERP)	4.14%	Damodaran
Long-term inflation, Chile	3.00%	Central Bank target
Long-term inflation, US (10Y breakeven)	2.24%	Bloomberg, Jun-26
Chilean tax rate	27.00%	Income Tax Law
Real Kd: latest UF bond coupon	3.60%	Mallplaza
Real Kd increase per turn of net debt/EBITDA	0.25%	Team assumption
Net debt/EBITDA initial (30-Jun-26) → target	2.36x → 3.5x	2Q26 release; team assumption
Gross debt / market cap (current structure, CLP MM)	1,579 / 7,906 (thousands)	Tasa_WACC (FFCF)

B. BETA: UNLEVERED PEERS

Company	Levered β	Debt (CLP MM)	Market cap (CLP MM)	Tax rate	Unlevered β
Parque Arauco	1.250	1,700,507	3,828,031	27%	0.944
Cencosud Shopping	1.075	762,154	3,942,858	27%	0.942
Allos	1.164	960,191	2,712,166	34%	0.944
Iguatemi	0.908	647,397	1,421,560	34%	0.698
IRSA	0.427	625,047	1,218,777	35%	0.320
Multiplan	1.219	191,478	2,959,845	34%	1.169
Median (6 peers included)					**0.9428**

Source: Bloomberg (betas), Tasa_WACC. Costa Verde is excluded because it is not in the comparables set.

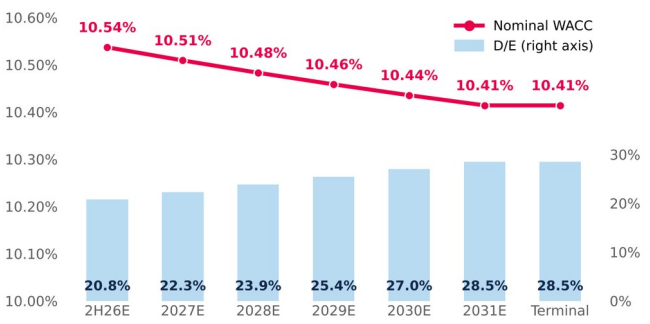
C. REVENUE-WEIGHTED COUNTRY RISK

Country	Weight (LTM revenue)	CRP (Damodaran)	Contribution
Chile	71.8%	1.04%	0.75%
Peru	17.7%	1.55%	0.27%
Colombia	10.5%	3.70%	0.39%
Weighted CRP	**100.0%**		**1.41%**

D. WACC BY PERIOD

	2H26E	2027E	2028E	2029E	2030E	2031E	Terminal
Net debt/EBITDA	2.46x	2.67x	2.88x	3.09x	3.29x	3.50x	3.50x
D/E	20.8%	22.3%	23.9%	25.4%	27.0%	28.5%	28.5%
D/V	17.2%	18.2%	19.3%	20.3%	21.2%	22.2%	22.2%
Re-levered beta	1.086	1.096	1.107	1.118	1.128	1.139	1.139
Ke USD	10.88%	10.93%	10.97%	11.02%	11.06%	11.10%	11.10%
Nominal Ke CLP	11.70%	11.75%	11.79%	11.84%	11.88%	11.93%	11.93%
Real Kd (UF) incl. spread	3.63%	3.68%	3.73%	3.78%	3.83%	3.89%	3.89%
Nominal Kd CLP	6.73%	6.79%	6.84%	6.89%	6.95%	7.00%	7.00%
After-tax Kd	4.92%	4.96%	4.99%	5.03%	5.07%	5.11%	5.11%
Nominal WACC CLP	**10.54%**	**10.51%**	**10.48%**	**10.46%**	**10.44%**	**10.41%**	**10.41%**
Real WACC	7.32%	7.29%	7.26%	7.24%	7.22%	7.20%	7.20%

Figure Z1: Nominal WACC and D/E by period



Control: the replica matches the WACC sheet of model v2 (0 bp difference in every period). Source: Damodaran; Bloomberg; Central Bank of Chile; Team analysis.

E. CHOICE OF THE RISK-FREE RATE

Alternative	Value
Model base: US Rf + Chile CRP, in CLP	6.80%
10Y peso bond, Central Bank (30-Jun-26)	5.43%
Difference	137 bp
Effect on terminal WACC (difference × E/V)	−107 bp
DCF value using the peso bond (CLP)	2,311
80/20 target price in that case (CLP)	**2,439**

Why UST + CRP and not the peso bond: the local bond already embeds Chile risk, so adding the CRP would double-count it; also, 28% of revenue comes from Peru and Colombia, whose risk enters through the weighted CRP.

It is the more conservative choice: with the peso bond the target price rises to ~CLP 2,439, still 31% below the CLP 3,555 share price. The recommendation does not change.

Source: Central Bank of Chile, Informativo Diario 2-Jul-26; DCF v2 replica with the WACC shifted in every period.